

- 1.** Why will scarcity always exist?
- A** There are high costs of production.
 - B** There are low levels of education.
 - C** There are unlimited resources.
 - D** There are unlimited wants.

D

Scarcity exists because human wants are unlimited, but the resources needed to satisfy those wants are limited. People constantly desire more better food, bigger homes, faster technology, and improved lifestyles. As new products and services are created, new wants also emerge. This constant cycle of desire means we never have enough resources to satisfy everyone completely. Because of these unlimited wants and limited resources, we must make choices, leading to scarcity. This is the fundamental reason why scarcity will always exist.

Why are the other options incorrect?

A- High costs of production can limit the amount of goods and services available in the market. When it becomes expensive to produce something, businesses may produce less of it, making it harder for people to obtain. However, while high costs can affect supply and prices, they are not the root cause of scarcity. Even if production costs dropped to zero, scarcity would still exist because human wants are endless and resources are limited. So, while production costs can impact availability, they do not explain why scarcity is always present.

B- Low levels of education can limit a society's ability to use resources efficiently. Educated individuals are better at finding solutions, increasing productivity, and improving economic systems. However, scarcity is not caused by how educated people are. Even in highly developed and educated countries, resources like time, money, and natural materials remain limited. Therefore, although education plays a role in how well we manage scarcity, it does not cause it.

C- This statement is actually incorrect. Resources such as land, labor, time, and raw materials are limited. We cannot create endless amounts of these inputs, no matter how advanced our technology becomes. If resources were truly unlimited, scarcity would not exist. The fact that we must choose how to use limited resources is proof that scarcity is real. Therefore, the idea that unlimited resources cause scarcity is false and misleading.

2. A student decides to take up a two-year apprenticeship for which she will earn \$10 000 per year. After that, she expects to earn \$25 000 per year. She could take an unskilled job which pays \$16 000 per year instead of the apprenticeship.

What is the opportunity cost in the two years of completing the apprenticeship?

- A \$10 000 B \$12 000 C \$25 000 D \$32 000

B

Opportunity cost is the value of the next best alternative that is given up when a choice is made.

In other words, it's what you sacrifice when you decide to use your time, money, or resources for one thing instead of another.

Option chosen: Apprenticeship earns \$10,000 per year for 2 years

→ Total earnings over 2 years = \$20,000

Opportunity foregone: Unskilled job would earn \$16,000 per year for 2 years

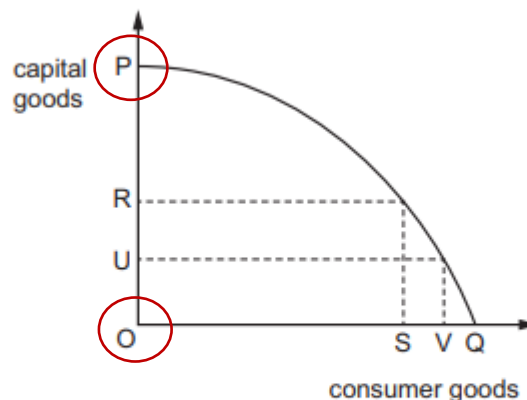
→ Total earnings if she chose the unskilled job = \$32,000

Opportunity Cost = Earnings from unskilled job – Earnings from apprenticeship

$$= \$32,000 - \$20,000 = \$12,000$$

The opportunity cost is **\$12,000**, which represents the earnings she gave up by choosing the apprenticeship instead of the unskilled job.

3. The diagram shows a country's production possibility curve (PPC).



Which current combination of capital and consumer goods would produce the greatest number of consumer goods in the future?

- A O and Q B P and O C R and S D U and V

B

The correct answer is B. P and O because producing the greatest number of capital goods now will lead to the highest production of consumer goods in the future. Capital goods, such as machinery and equipment, are used to produce other goods and services. When a country invests more in capital goods today, it increases its production capacity, allowing it to produce more consumer goods in the long run. Although this choice means fewer consumer goods now, it supports faster economic growth over time. Therefore, choosing the combination with the highest capital goods (P and O) will result in the greatest number of consumer goods in the future.

4. What is **not** a macroeconomic topic?

- A the growth in Chinese Gross Domestic Product
- B the level of Consumer Prices Index inflation in the UK
- C the level of unemployment in Spain
- D the total output of the German car industry

D

This is **not a macroeconomic topic**, because it focuses on the performance of a **specific industry**, not the entire economy. The total output of the German car industry is studied under **microeconomics**, which looks at individual markets, businesses, and industries. While this industry may have an impact on the broader economy, the analysis of a single sector's output is not considered a macroeconomic issue.

Why are the other options incorrect?

A- This is a **macroeconomic topic** because GDP measures the total value of all goods and services produced in a country over a period of time. It reflects the overall economic growth or contraction of an entire nation. Economists and policymakers use GDP to assess the health of a country's economy and to compare it with other nations. Since it deals with the economy on a **national scale**, it falls under macroeconomics.

B- CPI inflation measures the average change in prices paid by consumers for goods and services over time. It is a key **macroeconomic indicator** because it reflects the overall price stability in an economy. Rising inflation affects interest rates, wages, and the purchasing power of money, influencing economic policy decisions. Because it looks at the **economy as a whole**, CPI inflation is a macroeconomic issue.

C- Unemployment is another key **macroeconomic issue**, as it affects the entire labor force within a country. High unemployment can lead to lower consumer spending, reduced income, and slower economic growth. Governments and economists monitor national unemployment levels to make decisions about fiscal and monetary policies. Therefore, the overall level of unemployment in a country like Spain is a **macroeconomic topic**.

5. What is likely to cause an extension in demand for a firm's fruit drink?

- A** a period of hot weather
- B** a reduction in the cost of producing the drink
- C** a rival firm leaving the market
- D** a successful advertising campaign by the firm

B

When production costs go down, the firm is able to produce and supply more which causes a rightward shift in the supply curve and results in **lower prices** of the fruit drink. **Lower price** leads to a **movement along the demand curve**, meaning consumers will buy **more of the drink** because it's cheaper.

This increase in quantity demanded **due to a price decrease** is called an **extension in demand** (a movement along the curve).

Why are the other options incorrect?

A- Hot weather causes consumers to want more fruit drinks at every price. This is a shift of the demand curve outward (increase in demand), not a movement along the curve. So, it's not an extension in demand; it's a demand shift.

C- If a competitor leaves, some customers may switch to this firm's product. This causes the demand curve to shift right because more people want the product. Again, this is a shift in demand, not a movement along the curve. Also, when a rival firm leaves the market, the total supply of the product in the market falls. With fewer suppliers, the price is likely to rise because there's less competition. When the price rises, the quantity demanded (QD) usually contracts, meaning people buy less. So, this could actually cause a contraction in demand (a movement up along the demand curve) rather than an extension.

D- Advertising increases consumers' preference for the drink. This makes consumers willing to buy more, shifting the demand curve to the right. This is also a shift in demand, not an extension.

6. Supermarkets sell petrol (gas) outside their stores. They reduce the price of petrol below other suppliers to attract more customers to buy goods in the store when they buy more petrol.

If this were successful, how might it be shown on demand and supply diagrams?

	demand and supply diagram for petrol	demand and supply diagram for the store's goods
A	shift of the demand curve to the left	shift of the supply curve to the left
B	shift of the demand curve to the right	shift of the demand curve to the left
C	shift of the supply curve to the left	shift of the supply curve to the right
D	shift of the supply curve to the right	shift of the demand curve to the right

D

When supermarkets reduce the price of petrol, they effectively increase the supply of petrol available at lower prices, which is shown as a shift of the supply curve to the right in the petrol market. This attracts more customers to buy petrol from them. As more customers visit the store, the demand for goods inside the store increases, causing a shift of the demand curve to the right for the store's goods. Therefore, the successful strategy would be illustrated by a rightward shift in the supply curve for petrol and a rightward shift in the demand curve for the store's goods.

7. Which statement describes a market in disequilibrium?
- A Excess demand results from a government maximum price below the equilibrium price.
 - B The point where the demand and supply curves cross.
 - C Price changes cause further changes in both demand and supply.
 - D The quantity demanded by consumers equals the quantity supplied by producers.

A

Disequilibrium occurs in a market when the quantity demanded and the quantity supplied are not equal at the current price. This means the market is not in balance and there is either excess demand (shortage) or excess supply (surplus).

Option A describes a market in disequilibrium because when the government sets a **maximum price (price ceiling)** below the equilibrium price, it creates a situation where the price is artificially kept low. At this lower price, consumers want to buy more than producers are willing to supply, resulting in **excess demand** or a shortage. Since the quantity demanded exceeds the

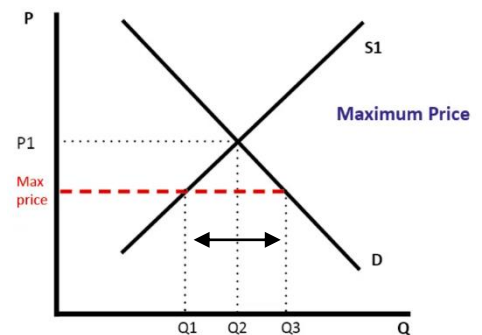
quantity supplied, the market cannot clear, meaning it is not in equilibrium. This mismatch causes problems like long queues, rationing, or black markets, all signs of a market in disequilibrium.

Why are the other options incorrect?

B- This point represents market equilibrium, where the quantity demanded equals the quantity supplied. At this point, there is no shortage or surplus, so the market is balanced and not in disequilibrium.

C- While prices can influence demand and supply, this statement describes how the market adjusts and responds to changes, not necessarily that it is out of equilibrium. It may reflect movements toward equilibrium, so it doesn't specifically indicate disequilibrium.

D- This is the definition of equilibrium, where the market clears with no excess demand or supply. Since demand equals supply, the market is in balance, not disequilibrium.



8. In response to an increase in price from \$5 per kg to \$6 per kg, a farmer increased supply from 400 kg to 500 kg per week.

What is the price elasticity of supply?

- A 0.8 B 0.9 C 1.2 D 1.25

D

$$PES = \frac{\% \text{ change in quantity supplied}}{\% \text{ change in price}}$$

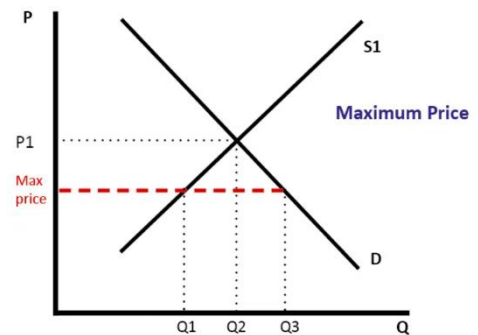
$$\% \text{ change in quantity supplied} = \frac{500 - 400}{400} \times 100 = \frac{100}{400} \times 100 = 25\%$$

$$\% \text{ change in price} = \frac{6 - 5}{5} \times 100 = \frac{1}{5} \times 100 = 20\%$$

$$PES = \frac{25\%}{20\%} = 1.25$$

9. Which government measure is most likely to cause a fall both in price and in quantity traded?

- A indirect tax
- B maximum price
- C minimum price
- D subsidy



B

A maximum price, is a government-imposed limit that sets the highest legal price a good or service can be sold for, usually below the market equilibrium price. This measure is often used to make essential goods more affordable. However, when the maximum price is set too low, it creates a situation where demand increases (because the good is cheaper), but supply decreases (because producers earn less and may not find it profitable to sell). As a result, the market experiences a shortage, and although the price falls, the actual quantity traded also falls because there isn't enough supply to meet the higher demand. Therefore, a maximum price causes both a fall in price and a fall in quantity traded, which makes it the correct answer.

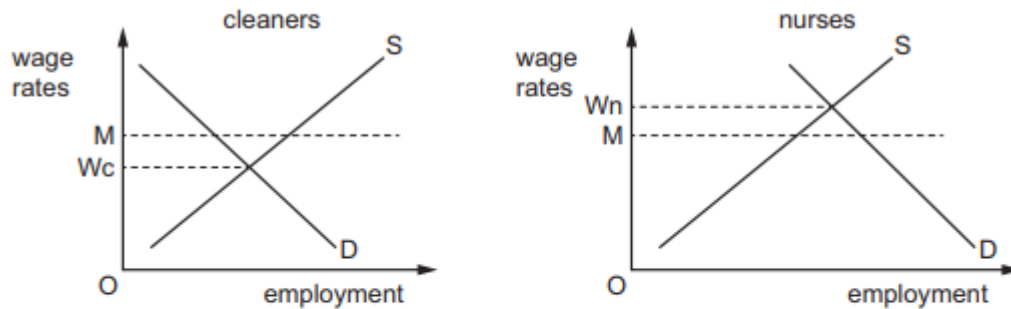
Why are the other options incorrect?

A- An indirect tax (like VAT or excise duty) is added to the price of goods. It increases the cost of production or sale, shifting the supply curve to the left. This leads to **higher prices** and lower quantity traded.

C- A minimum price is set above equilibrium to protect producers (e.g. minimum wage or agricultural price floors). At this higher price, suppliers want to supply more, but consumers want to buy less, leading to a surplus. So, **Price rises** and Quantity traded falls.

D- A subsidy lowers production costs, shifting the supply curve to the right. This leads to a fall in price and an increase in quantity traded. So, Price falls whereas **Quantity traded increases**, not decreases.

10. The diagrams show the wage rates of cleaners (OW_c) and nurses (OW_n).



What is the result if a national minimum wage of OM is introduced?

	wage rates of cleaners	wage rates of nurses
A	fall	rise
B	no change	fall
C	rise	fall
D	rise	no change

D

When a national minimum wage of OM is introduced, it affects different occupations depending on whether their current wage is below or above OM . In the case of cleaners, the current wage rate (W_c) is below the minimum wage level (OM), so their wage will rise to meet the new legal minimum.

On the other hand, nurses are already earning a higher wage (W_n) than OM . Since the minimum wage is below their current market wage, it will have no effect on their earnings. Any minimum wage imposed under the equilibrium is considered ineffective. Therefore, the wage rate for cleaners will rise, while the wage rate for nurses will remain unchanged, making option **D** the correct answer.

11. What would cause a decrease in spending by households in a country?

- A** a reduction in disposable income
- B** a reduction in the rate of sales tax
- C** lower interest rates
- D** lower savings

A

Disposable income is the amount of income households have left after paying taxes. It's what they use to spend on goods and services or save. If disposable income falls (e.g. due to higher taxes, job losses, or wage cuts), households have less money to spend, leading to a decrease in consumer spending.

Why are the other options incorrect?

B- Lower sales tax means **goods become cheaper**, encouraging **more spending**, not less.

C- Lower interest rates reduce the **cost of borrowing** and make **saving less attractive**, so people are more likely to **spend**.

D- If people are saving less, it usually means they are **spending more** of their income.

12. Which combination shows the advantages of a small firm over a larger firm?

	better communication	greater independence	lower average cost
A	no	no	yes
B	no	yes	no
C	yes	yes	no
D	yes	yes	yes

C

Small firms often benefit from **better communication** and **greater independence** compared to larger firms. With fewer employees and simpler organizational structures, small businesses can communicate more effectively and make decisions more quickly, avoiding the delays and misunderstandings that can happen in large companies. Additionally, small business owners usually enjoy more **independence**, having full control over operations and the flexibility to adapt quickly to changes. However, small firms do **not typically benefit from lower average costs**, as they lack the **economies of scale** that larger firms enjoy, such as bulk purchasing or specialized labor. Therefore, **option C** correctly identifies the advantages of small firms over larger ones.

13. What is a variable cost for a firm?

- A** the cost of raw materials
- B** the interest payment on existing loans
- C** the rent on the factory
- D** the insurance on the factory buildings

A

Variable costs are costs that change with the level of output, they go up when production increases and go down when production decreases.

Raw materials are used **directly in production**. The more the firm produces, the more raw materials it needs. So, this cost **varies with output** → it's a **variable cost**.

Why are the other options incorrect?

B- Loan interest is usually a **fixed cost** and it doesn't change with production levels. You pay the same amount regardless of how much you produce.

C- Rent is typically **fixed** and it remains constant even if you produce nothing. It doesn't vary with output.

D- Insurance premiums are also **fixed costs**, paid regardless of output. They don't increase when production increases.

14. The table shows the daily average revenue and units of output sold for a firm producing bicycles over a five day period.

day	average revenue (\$)	units of output sold
1	200	2
2	160	4
3	120	8
4	80	14
5	40	16

What can be concluded from the table?

- A** The firm's highest total revenue occurs at 2 units of output sold.
- B** The firm's highest total revenue occurs at 14 units of output sold.
- C** The firm's prices are always greater than total revenue.
- D** The firm's total revenue always increases as output rises.

B

Total Revenue = Average Revenue $\times$ Units of Output Sold

Average Revenue = Price

Average Revenue is per unit quantity.

Day	Average Revenue (\$)	Units Sold	Total Revenue (\$)
1	200	2	$200 \times 2 = 400$
2	160	4	$160 \times 4 = 640$
3	120	8	$120 \times 8 = 960$
4	80	14	$80 \times 14 = 1120$
5	40	16	$40 \times 16 = 640$

Highest total revenue = \$1120, which occurs on **Day 4**, when **14 units** are sold.

After that, at 16 units (Day 5), total revenue **falls** to \$640.

Why are the other options incorrect?

A- At 2 units, TR = \$400, which is **not the highest**.

C- This is **nonsensical**: price (or average revenue) is always **lower** than or **multiplied into** total revenue.

D- No, total revenue **falls** on Day 5 (from \$1120 to \$640), even though output increases.

15. Which function of money acts as a measure of value?

- A a medium of exchange
- B a standard of deferred payment
- C a store of wealth
- D a unit of account

D

Money functions as a **unit of account** by providing a common standard to measure and compare the value of goods and services. This means that prices and values are expressed in consistent monetary terms, which helps consumers and businesses make informed decisions about buying, selling, and recording transactions. Without a unit of account, it would be difficult to determine how much one product is worth compared to another or to keep accurate financial records. Therefore, money acting as a unit of account is essential because it simplifies economic exchanges by acting as a clear and uniform measure of value.

Why are the other options incorrect?

A- Refers to money's role in facilitating the buying and selling of goods and services by eliminating the need for barter, but it doesn't measure or compare value itself.

B- The **standard of deferred payment** means money can be used to settle debts or payments at a later time, which relates to timing rather than value measurement.

C- Describes money's ability to hold value over time so people can save it for future use, but this function does not involve expressing or measuring value.

16. What are the features of a highly competitive market when compared with a monopoly market?

	price	profit
A	higher	higher
B	higher	lower
C	lower	higher
D	lower	lower

D

In a highly competitive market, many firms compete to sell similar products. This competition tends to drive:

- **Prices lower** because firms try to attract customers by offering better deals.
- **Profits lower** because intense competition limits how much firms can charge above their costs.

In contrast, a monopoly market has a single seller with significant market power. The monopolist can:

- Set higher prices since there are no close substitutes.
- Earn higher profits due to lack of competition.

17. What is **not** a role of central government in a mixed economy?

- A** providing demerit goods
- B** providing merit goods
- C** providing public goods
- D** stabilising the economy

A

In a mixed economy, the central government aims to promote the welfare of society by providing goods and services that are beneficial, *such as merit goods and public goods, and by stabilizing the economy* through fiscal and monetary policies.

However, **the government does not provide demerit goods**. Demerit goods are products considered harmful or socially undesirable, such as tobacco or excessive alcohol. Instead of providing these goods, the government usually seeks to discourage their consumption through taxes, regulations, or public awareness campaigns. Therefore, providing demerit goods is not a role of the central government in a mixed economy.

18. A government wishes to prevent deflation.

Which combination of policies would be the most effective in achieving this aim?

	interest rate	government spending
A	increase	increase
B	increase	reduce
C	reduce	increase
D	reduce	reduce

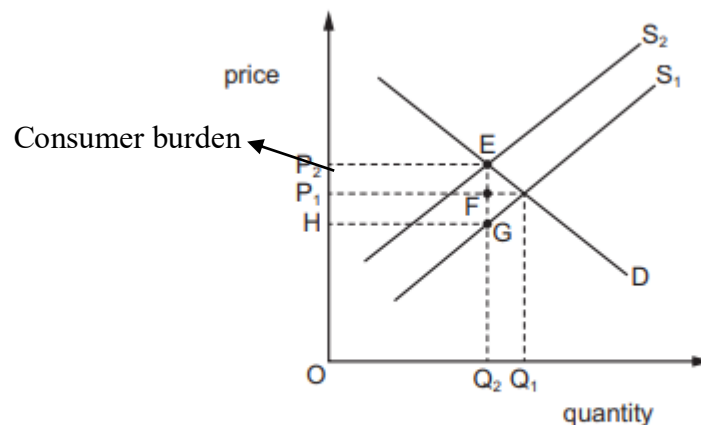
C

Deflation is a sustained **decrease in the general price level** of goods and services in an economy over a period of time. This can lead to lower consumer spending and economic slowdown. To prevent deflation, the government wants to **stimulate demand**.

- **Reducing interest rates** (Expansionary Monetary Policy) makes borrowing cheaper, encouraging households and businesses to spend and invest more. Both C and I increases and AD rises.
- **Increasing government spending** (Expansionary Fiscal Policy) injects money into the economy, boosting demand directly.

Both policies **increase overall demand**, helping to stop prices from falling.

19. The diagram shows the impact of a tax introduced on a product.



Which area represents the amount of tax paid by the consumer?

- A** HP_1FG **B** HP_2EG **C** OP_2EQ_2 **D** P_1P_2EF

D

- **S1** → **original supply curve** (before tax)
- **S2** → **new supply curve** (after tax, shifted left/up by the tax amount)
- **P1** → **original equilibrium price** (before tax)
- **P2** → **new price paid by consumers** (after tax)

- **Q1** → **original equilibrium quantity** (before tax)
- **Q2** → **new quantity sold** (after tax)
- The vertical distance between S2 and S1 represents the **tax per unit**.
- The tax paid by consumers is the **difference between P2 and P1** (the price increase due to tax).

Why are the other options incorrect?

A- Shows the area of producer burden.

B- Shows the area of total tax revenue (C.B + P.B).

C- Shows the area of total revenue ($P \times Q$).

20. Which statement about supply-side policy is correct?

- A** It aims to increase the productive potential of the economy.
- B** It aims to increase total demand in the economy.
- C** It involves changes in the equilibrium foreign exchange rate.
- D** It involves changes in the rate of interest.

A

Supply-side policies are designed to improve the long-term productive capacity of an economy. They focus on increasing efficiency and encouraging factors that help businesses produce more goods and services, such as better technology, improved worker skills, and investment incentives. By doing so, these policies shift the economy's potential output higher, allowing it to grow sustainably without causing inflation.

Why are the other options incorrect?

B- Increasing total demand is the goal of **demand-side policies**, not supply-side.

C- Changes in the foreign exchange rate relate to **monetary policy** or external factors, not specifically supply-side policy.

D- Changes in the interest rate are tools of **monetary policy**, not supply-side policy.

21. Which change is most likely to cause faster economic growth in the short run?

- A an increase in net emigration
- B an increase in the birth rate
- C an increase in the death rate
- D an increase in the retirement age

D

Increasing the **retirement age** means more people stay in the workforce longer, which **raises the labor supply** and boosts production in the short run.

This directly increases the economy's output and leads to faster economic growth quickly.

Why are the other options incorrect?

A- Emigration is the process of leaving one's own country to live permanently in another country. It involves people moving out of their home country, often for reasons like work, education, or better living conditions.

More people leaving the country reduces the workforce, slowing growth.

B- Birth rate is the number of live births per 1,000 people in a population over a specific period, usually a year.

While an increase in the birth rate means the population grows, it also leads to a higher dependency ratio in the short run, because babies and young children are dependents who do not contribute to the workforce. This can put more pressure on resources and slow down economic growth temporarily until these children reach working age.

C- This reduces population and labor supply, harming growth.

22. How is the pattern of employment likely to change when a country becomes more developed?

- A from rural employment to urban employment
- B from skilled employment to primary employment
- C from technical employment to manual employment
- D from tertiary employment to secondary employment

A

As a country becomes more developed, its economy typically shifts from agriculture-based activities (mostly in rural areas) to more industrial and service-based activities located in urban areas. This means:

- Many people move from rural employment (like farming) to urban employment in factories, offices, and service sectors.
- This process is known as urbanization and is a key characteristic of economic development.

Why are the other options incorrect?

B: Skilled employment usually increases, not decreases; primary employment (agriculture) tends to decline with development.

C: Technical and manual jobs depend on sector, but generally technical (skilled) jobs increase with development.

D: Employment tends to shift **from secondary (manufacturing) to tertiary (services)**, not the other way around.

23. Which item is **least** likely to be included in the Consumer Prices Index (CPI)?

- A** domestic cooking oil
- B** homemade clothes
- C** milk
- D** personal mobile phones

B

The Consumer Prices Index (CPI) measures changes in the prices of goods and services that consumers typically buy in the market. It focuses on items that have a clear market price, such as cooking oil, milk, and mobile phones. However, **homemade clothes** are usually produced and used within the household and are not bought or sold in stores. Because they do not have a market price or regular transactions, homemade clothes are generally **excluded from the CPI**. This makes option B the least likely item to be included in the Consumer Prices Index.

24. The table shows statistics for four countries **A, B, C** and **D**.

According to the data provided, which country has the lowest standard of living?

	average years of schooling	life expectancy (years)	GDP per head (\$)
A	6	45	200
B	7	47	200
C	9	60	220
D	12	59	1500

A

Country A has the lowest standard of living based on the data provided. It has the **shortest average years of schooling at 6 years**, which suggests limited access to education. Additionally, its **life expectancy is the lowest at 45 years**, indicating poorer health and living conditions. Finally, Country A's **GDP per head is \$200**, the lowest among the four countries, reflecting lower income levels and economic well-being. Taken together, these factors show that Country A faces the greatest challenges in terms of education, health, and income, resulting in the lowest standard of living.

25. Economic development in country X has progressed at a greater rate than in country Y.

What is the most likely explanation of this difference in economic development between country X and country Y?

- A** Country X has a higher level of spending on education than country Y.
- B** Country X has a higher level of unemployment than country Y.
- C** Country Y has a higher level of investment spending than country X.
- D** Country Y has a higher level of spending on healthcare than country X.

A

Economic development is strongly influenced by the quality and skill level of the workforce. Higher spending on education improves human capital by increasing skills, knowledge, and productivity, which helps the economy grow faster.

Country X's faster economic development is most likely due to its higher level of spending on education compared to Country Y. Investing more in education improves the skills and knowledge of the workforce, leading to greater productivity and innovation, which drives

economic growth. Additionally, better education often leads to higher incomes and improved job opportunities, which enhance the overall quality of life for people in Country X. In contrast, lower education spending in Country Y may limit its development and reduce the potential for improving living standards and well-being. Therefore, education spending plays a crucial role not only in economic growth but also in raising the quality of life.

Why are the other options incorrect?

B- This is incorrect because higher unemployment typically slows down economic development. When a large portion of the population is unemployed, fewer goods and services are produced, and income levels drop. This reduces overall demand in the economy and increases poverty, lowering both economic growth and quality of life. So, higher unemployment would not explain faster development in Country X.

C- This option contradicts the question. If Country Y had more investment spending, we would expect it to develop faster, not slower. Investment in infrastructure, industries, and technology is a key driver of economic development. Since the question says Country X has developed more, this cannot be the right explanation.

D- This option is contradictory because if Country Y were spending more on healthcare, we would expect better health outcomes, such as higher life expectancy and lower disease burden. These improvements usually lead to a healthier and more productive workforce, which supports faster economic development. However, the question clearly states that Country X has developed at a greater rate than Country Y.

26. A rise in which factor would cause an increase in the population growth rate of a country?

- A** birth rate
- B** death rate
- C** infant mortality rate
- D** net emigration

A

A rise in the birth rate means that more babies are being born, which directly increases the number of people in the population. This leads to a higher population growth rate, assuming other factors like death rate and migration remain constant.

Why are the other options incorrect?

B- An increase in the death rate means more people are dying. This reduces the population size or slows its growth. A higher death rate works against population growth and can result from poor healthcare, disease, conflict, or aging populations. So, it would decrease, not increase, the population growth rate.

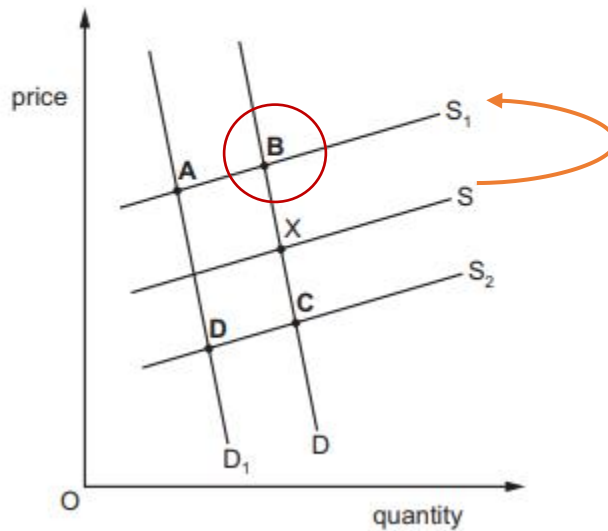
C- A rise in the infant mortality rate means more babies are dying before reaching one year of age. This directly reduces the number of surviving newborns and thus slows down population growth. Even if the birth rate is high, high infant mortality offsets that increase. So this would not lead to population growth.

D- Net emigration occurs when more people leave a country than enter it. An increase in net emigration means a larger number of people are moving abroad, reducing the domestic population. This results in a lower population growth rate, not a higher one.

27. The diagram shows the market for an imported good with equilibrium at point X.

The country imposes a tariff on this good.

Is the new equilibrium at point A, B, C or D?



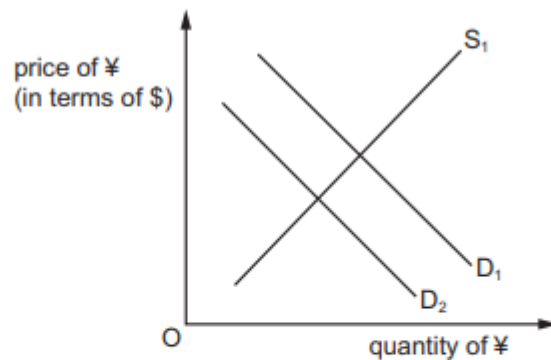
When a country imposes a **tariff** on an imported good, the **cost of supplying the good increases** because importers must pay the tariff fee. This effectively shifts the **supply curve upward or to the left** from S to S1.

- The original equilibrium was at **point X**, where the original supply curve S intersects demand D.

- After the tariff, the new supply curve is **S1**, which is higher than the original supply curve.

The new equilibrium will be at **point B**, where the new supply curve **S1** intersects the original demand curve **D**.

28. The diagram shows the market for the Chinese yuan (¥) priced in US dollars (\$).



What could have caused the change in demand for the yuan from D_1 to D_2 ?

- A** a decrease in foreign direct investment in China
- B** a decrease in the level of tariffs levied by China on imports
- C** an increase in the buying of yuan by central banks
- D** an increase in the Chinese rate of interest

A

A decrease in foreign direct investment (FDI) in China means that fewer foreign investors are putting money into Chinese businesses or projects. Since investing in China requires purchasing the Chinese yuan, a reduction in FDI leads to a lower demand for yuan from foreign investors. This decreased demand for the currency causes the demand curve for yuan to shift to the left, from D_1 to D_2 . Therefore, a fall in foreign direct investment is a likely cause of the decreased demand for the yuan shown in the diagram.

Why are the other options incorrect?

B- A decrease in the level of tariffs levied by China on imports would likely lead to an increase in imports into China. Importers would need to exchange more of their foreign currency for yuan to pay for these goods. As a result, the **supply of yuan** in the foreign exchange market would

increase. This increase in the supply of yuan would shift the **supply curve of yuan to the right**, not the demand curve.

C- Central banks buying yuan increases demand, shifting the curve **right**, not left. So, this would cause an increase, opposite to what we see.

D- Higher interest rates tend to attract foreign capital inflows, increasing demand for yuan. This would shift demand **right**, not left.

- 29.** The table shows the average exchange rate of the UK pound (£) to the US dollar (\$), that is the amount of \$ that can be bought with £1.

year	exchange rate UK£/US\$
1	1.64
2	1.52
3	1.35
4	1.25

What is a likely effect of this change on the UK economy?

- A** decreased cost-push inflation
- B** decreased current account deficit
- C** increased quantity of imports
- D** increased trade deficit

B

The table shows that the exchange rate of the UK pound (£) to the US dollar (\$) is **decreasing** over the years from 1.64 to 1.25. This means the **pound is weakening** against the dollar because £1 now buys fewer dollars.

- When the pound weakens, **imports become more expensive** because it costs more pounds to buy the same amount of foreign goods priced in dollars.
- As a result, the **quantity of imports is likely to decrease**, not increase.
- A weaker pound makes UK exports cheaper for foreign buyers, (BOT surplus) potentially improving the UK's **current account balance** by reducing the deficit.

Why are the other options incorrect?

A- A weaker pound makes imports more expensive (e.g., fuel, raw materials, components). Higher import prices increase production costs for UK firms. This leads to higher cost-push inflation, not a decrease.

C- When the pound weakens, buying foreign goods becomes more expensive in pounds. This usually causes a fall in the quantity of imports, as consumers switch to cheaper domestic alternatives or reduce spending.

D- A weaker pound reduces the trade deficit over time because:

- Exports become cheaper for other countries → foreign demand for UK goods rises
- Imports become more expensive → UK consumers and businesses reduce import spending

So, the trade deficit is likely to shrink, not grow.

30. The table shows components of Japan's current account balance in trillion yen (¥) for 2 years.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
1	-1.61	-1.76	14.04	-1.11
2	-5.23	-2.33	13.55	-1.02

Which balance improved between year 1 and year 2?

- A** balance of goods
- B** balance of primary income
- C** balance of secondary income
- D** balance of services

C

Balance of goods

- Year 1: -1.61
- Year 2: -5.23
Worsened (larger deficit)

Balance of services

- Year 1: −1.76
- Year 2: −2.33
Worsened (larger deficit)

Balance of primary income

- Year 1: 14.04
- Year 2: 13.55
Worsened slightly (less income)

Balance of secondary income

- Year 1: −1.11
- Year 2: −1.02
Improved (deficit became **smaller**)

The **balance of secondary income** improved because the negative figure **reduced** from −1.11 to −1.02 trillion yen. That means Japan sent **less net income abroad** (like remittances, aid, etc.), improving the current account balance.